

1.

Essay 3

Over the past 20 years, the growth of world trade has averaged 6% per year, twice as fast as the growth in world output. As countries become ever more interconnected, they experience both economic opportunities and threats.

Evaluate the view that international trade always benefits nations.

[25 marks]

2.

A country experiences a large net capital outflow. All other things being equal, the most likely consequence of this in the short run will be a decrease in

A its exchange rate.

☐

B its net income from overseas investments.

☐

C its rate of interest.

☐

D the value of exports and imports.

☐

[1 mark]

3.

Extract B describes the trade figures as 'disappointing'.

Explain how the data in **Extract A (Figure 2)** show that the UK's trade performance has been 'disappointing' given the fall in the value of the pound since November 2015.

[4 marks]

4.

A large Asian steel-producing country dumps its surplus steel on the world market. All other things being equal, if the demand for steel is price elastic, the most likely consequence for the EU market for steel will be to

A reduce excess capacity in the EU steel-making industry.

☐

B reduce the value of steel imports into the EU.

☐

C shift the demand curve for EU steel workers to the left.

☐

D shift the supply curve of EU steel workers to the left.

☐

[1 mark]

5.

Between 2014 and 2018, the pound fell by more than 20% against the dollar and euro. Some argued that this would benefit the UK's macroeconomic performance, but others claimed that a lower exchange rate will cause problems.

Assess the view that a depreciation of the pound against other currencies is likely to improve the UK's macroeconomic performance.

[25 marks]

6.

The UK's labour productivity increases by only 10% over a five-year period. Over the same period its main trading partners increase their productivity by 25%. All other things being equal, the most likely consequence for the UK is

- A** a decline in UK imports from its main trading partners.
- B** a 15% deterioration in its balance of trade on the current account.
- C** a loss of competitiveness against its main trading partners.
- D** the imposition of a 15% tariff on imports to maintain international competitiveness.

☐☐☐☐

[1 mark]

7.

Between 2014 and 2018, the pound fell by more than 20% against the dollar and euro. Some argued that this would benefit the UK's macroeconomic performance, but others claimed that a lower exchange rate will cause problems.

Explain why the value of a currency may fall in a floating exchange rate system.

[15 marks]

8.

Which one of the following combinations, **A**, **B**, **C** or **D**, shows the essential characteristics of a customs union?

	Internal trade barriers	Common external tariffs	Common currency
A	Yes	No	Yes
B	No	Yes	No
C	Yes	Yes	No
D	No	No	Yes

☐☐☐☐

[1 mark]

9.

INVESTIGATION

Scenario

You are an economist working for an organisation which investigates ways to improve the standard of living of UK citizens.

You have been asked to review changes in living standards and inequality since the 2007–2008 financial crisis.

As part of this investigation, you are to provide answers to the following question.

Study **Extracts A, B and C**, and then use these and your knowledge of economics to help you answer this question.

Explain how a sustained slowdown in the world economy is likely to affect living standards in the UK.

[15 marks]

10.

In 2015, Lithuania joined the eurozone, adopting the euro as its currency. Since then, the euro has appreciated by more than 15% against the pound sterling. Some have argued that this will reduce economic growth in Lithuania and other countries within the eurozone.

Evaluate the costs and benefits for a country of joining a currency union, such as the eurozone.

[25 marks]

11.

In 2017, the UK's annual budget deficit was 2.3% of GDP, the lowest level since 2001. In 2017, the UK's deficit on the current account of the balance of payments fell to 3.3% of GDP, the lowest level since 2011.

To what extent do you agree that reducing the budget deficit is more important to the UK's macroeconomic performance than reducing the current account deficit on its balance of payments? Justify your answer.

[25 marks]

12.

Extract F (lines 17–19) states: 'Some argue that many developed countries that now champion free trade, only achieved economic prosperity through protectionist policies.'

Using the data in the extracts and your knowledge of economics, assess the view that developing economies, such as Brazil and China, should pursue protectionist policies to achieve greater economic development.

[25 marks]

13.

The savings ratio is the proportion of national income that is saved. The UK savings ratio reached 10.6% in 2015 but fell to 3.9% in 2017. This indicates rising consumption and a fall in savings across the economy. Economists debate whether or not this change in consumption and savings is beneficial.

To what extent do you agree that a fall in savings is beneficial for the UK economy? Justify your answer.

[25 marks]

14.

Extract E (lines 10–11) states: 'US tariffs on \$200bn of Chinese imports came into effect in September.'

With the help of a diagram, explain how the imposition of a tariff may affect the volume of imports.

[9 marks]

15.

Explain how the data in **Extract D** (Figure 1) **and** (Figure 2) show why the US may have decided to implement protectionist policies.

[4 marks]

16.

Which one of the following is an expenditure switching policy that would help to reduce a deficit on the balance of payments on current account?

An increase in

A government expenditure on public goods.

☐

B income tax to reduce consumer expenditure.

☐

C quotas on exports of demerit goods.

☐

D tariffs to raise the price of imports.

☐

[1 mark]

17.

Since 1992, the UK has had a floating exchange rate, and between August and December 2019, the pound sterling rose by around 10%. In the recent past, several nations, such as Japan, Switzerland and China, have actively intervened to influence the value of their currencies.

Evaluate the possible impact on the cost of living **and** the standard of living in the UK of a sustained rise in the value of the pound sterling against other currencies, such as the euro and the US dollar.

[25 marks]

18.

Since 1992, the UK has had a floating exchange rate, and between August and December 2019, the pound sterling rose by around 10%. In the recent past, several nations, such as Japan, Switzerland and China, have actively intervened to influence the value of their currencies.

Explain how a government or central bank can intervene to prevent the value of its currency rising.

[15 marks]

19.

Extract F (lines 7–8) states: 'Economists said the data reinforced the view that the slump in South Korea's trade-reliant economy would continue beyond this year'.

Using the data in the extracts and your knowledge of economics, evaluate policies which could be used to boost South Korea's exports and increase its trade surplus.

[25 marks]

20.

The table below shows different combinations of performance for three macroeconomic indicators.

Which one of the combinations, **A**, **B**, **C** or **D**, is most likely to indicate an economy experiencing an economic boom?

	Imports	Price level	Job vacancies
A	Decreasing	Increasing	Decreasing
B	Decreasing	Decreasing	Increasing
C	Increasing	Increasing	Increasing
D	Increasing	Decreasing	Decreasing

☐☐☐☐

[1 mark]

21.

After considering **Extract D**, and the original evidence in **Extracts A**, **B** and **C**, would you recommend that the UK government provides financial and other support to companies involved in the production of commercial aircraft? Justify your recommendation.

[25 marks]

22.

Which one of the following is a role of the World Trade Organisation?

A Helping countries settle disputes over tariffs and quotas

☐

B Lending money to countries with balance of payments problems

☐

C Monitoring the stability of the international monetary system

☐

D Providing loans at low rates of interest to low-income countries

☐

[1 mark]

Extract B (line 2) states: ‘...there were signs that economies were in the midst of a global slowdown’.

EXAM PA

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Over the last 50 years, the growth of world trade has far outstripped the growth of world output. As countries become even more integrated, the opportunities and threats are increasing.

Essay 3

Over the past 20 years, the growth of world trade has averaged 6% per year, twice as fast as the growth in world output. As countries become ever more interconnected, they experience both economic opportunities and threats.

Explain reasons for changes in the value of exports from the UK to the rest of the world.

[15 marks]

25.

An economy experiences an increasing negative output gap. Which one of the following combinations of outcomes most accurately describes the likely effects of this?

	Imports	Inflationary pressure	Unemployment	
A	Falling	Falling	Rising	☐
B	Falling	Rising	Falling	☐
C	Rising	Falling	Rising	☐
D	Rising	Rising	Falling	☐

[1 mark]

26.

Essay 2

In 2018, the European Commission estimated that Bulgaria and Romania were both experiencing positive output gaps whilst the UK was experiencing a negative output gap. Persistent output gaps can cause problems for economies which may be addressed by supply-side improvements.

Explain the main problems for an economy of having a large positive output gap.

[15 marks]

27.

Essay 1

The UK has been running a deficit on its balance of trade in goods and services since 1998. Expenditure-reducing and expenditure-switching policies can both be used to correct a trade deficit. However, the UK government has focused on other objectives rather than achieving a trade balance.

Assess the view that floating exchange rates are always better than fixed exchange rates.

[25 marks]

28.

Essay 1

The UK has been running a deficit on its balance of trade in goods and services since 1998. Expenditure-reducing and expenditure-switching policies can both be used to correct a trade deficit. However, the UK government has focused on other objectives rather than achieving a trade balance.

Explain how expenditure-switching policies can be used to reduce a deficit on a country's balance of trade in goods and services.

[15 marks]

29.

Extract E (lines 7–9) states: 'It was hoped that policy measures, including a reduction in tariffs... would help to reduce inflation'.

With the help of a diagram, explain how a reduction in tariffs could help to reduce inflation.

[9 marks]

30.

Extract C (lines 13–14) states: ‘Some argue that African governments should be doing more to improve the living standards of their citizens, rather than relying on foreign firms.’

Using the data in the extracts and your knowledge of economics, assess the view that to improve the living standards of their citizens, African nations should pursue policies to attract foreign direct investment (FDI).

[25 marks]